

Let's say we buy the ATM put. Then, the premium amount (₹60) is the cost of protective put that we will be paying. Assuming,

MARKET PRICE ON EXPIRY	NET PROFIT/ LOSS	EXPLANATION
₹2900	Profit/Loss = Profit/Loss on Shares + Profit / Loss on Option = (2900-3000) + (3000-2900-60) = -₹100 + ₹40 = (₹60)	So, we can see that despite the stock price going down by ₹100, our losses are only at ₹60. This is where Protective Put protects us from the downside.
₹3200	Net Profit = ₹3200 – ₹3000 – ₹60 = ₹140	We see that when the price did not actually go down, we enjoy the upside of stock position. However, ₹60 paid as premiums will reduce our profitability. This is the cost of Protective Puts that we have to incur.
₹2000	Profit/Loss = Profit/Loss on Shares + Profit / Loss on Option = (2000-3000) + (3000-2000-60) = -₹1000 + ₹940 = (₹60)	We can see that despite the stock price going down by 33%, our losses were still capped at ₹60.

By applying this strategy, we have in a way insured ourselves from the expected loss for a specific period of time. We can again and again enter into such protective put strategy whenever we have reasonable believe that the stock may go down. However, this is a very expensive protection and it eats into our investment results. So, if we have protective put very frequently, it will generate below-par results on the entire position. It is only to be used when there is significant reason to be bearish.

Large companies and banks generally have large blocks of shares of single company.